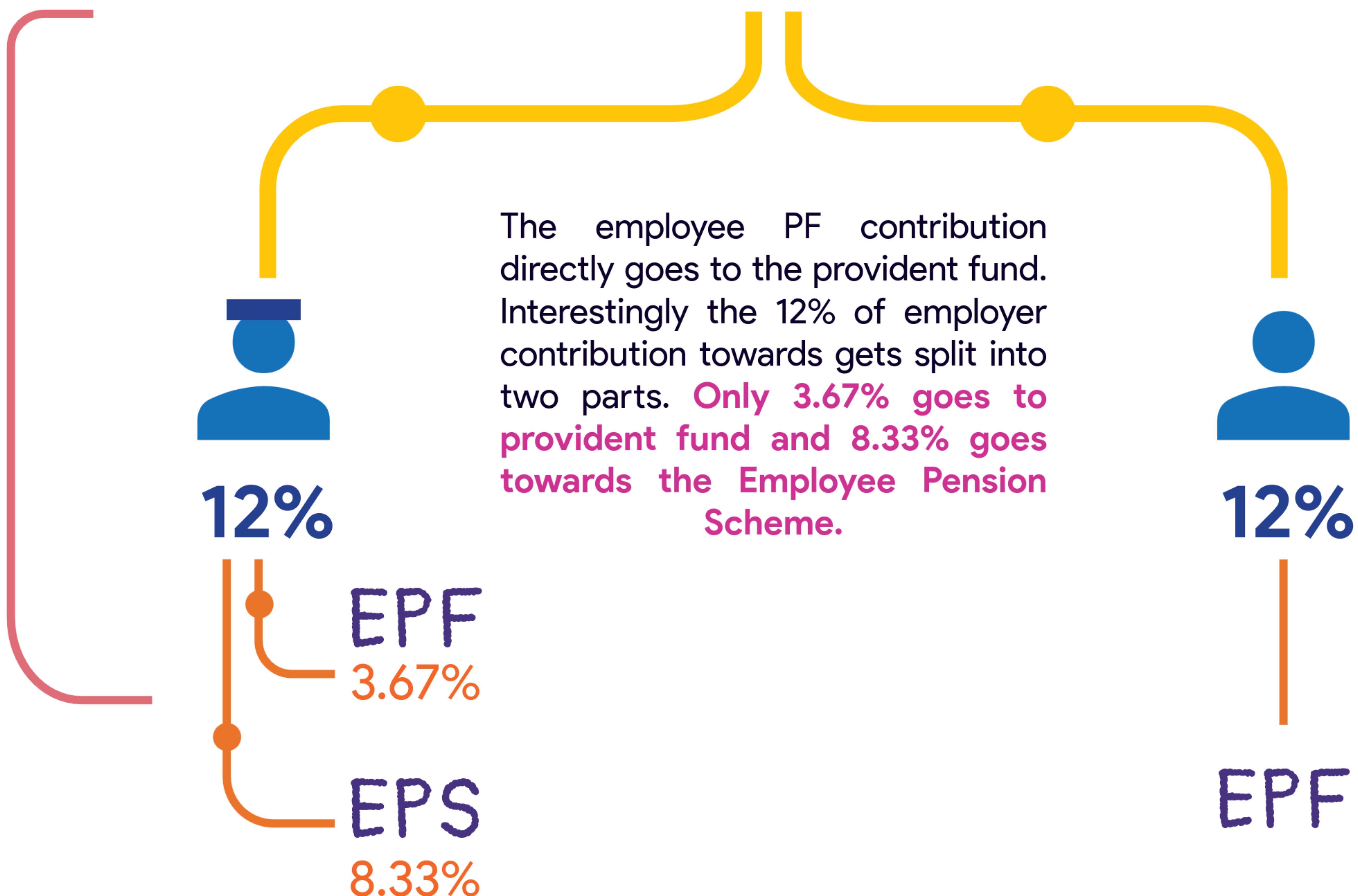


Practical Tip: Instead of paying 12% of the full basic salary, you may limit the PF contribution to INR 1800 per month (12% of INR 15,000).

24%



The formula for calculating monthly pension is:

$$\text{EPS} = \frac{(\text{Service Period} \times \text{Pensionable Salary})}{70}$$

The pensionable salary is calculated based on the average income of an employee over the last five years.

$$\text{3.67\%} + \text{8.33\%} + \text{0.5\%} + \text{1.11\%} = \text{13.61\%}$$

EPF EPS EDLI AV

Apart from EPF the employer must contribute 0.5% towards Employee Deposit Linked Insurance (EDLI). The nominee of the employee gets 7 lacs as lump sum amount in the unfortunate case of the death of the employee. The employer also needs to pay 1.11% towards administration fees for PF and EDLI. This makes the total contribution of an employer 13.61% towards PF.